

AXYS

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Quarterly Insights

October 2021

Growing Capital Sustainably



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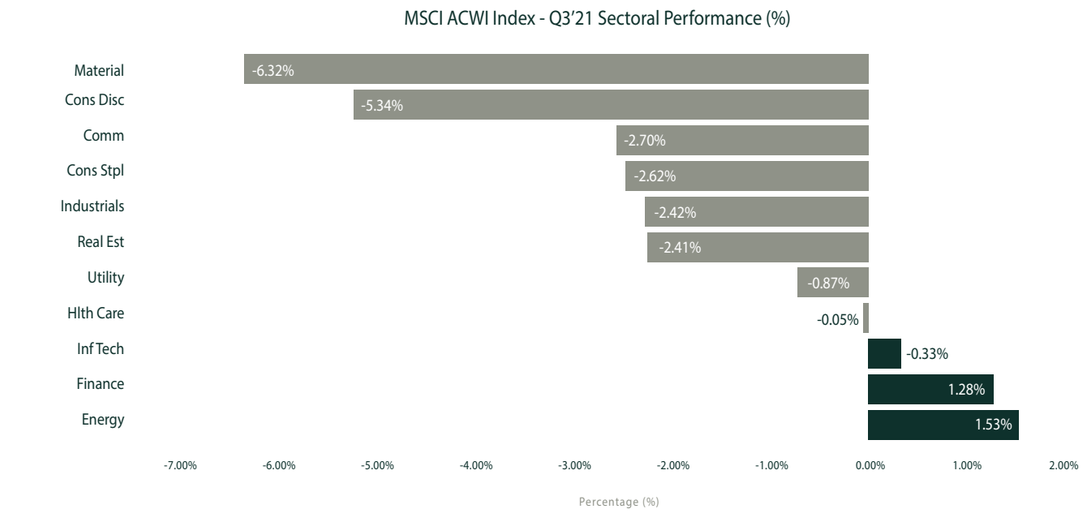
Macroeconomic Outlook - **Global**

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Macroeconomic Outlook - **Global**

Q3'21 has been an eventful quarter with numerous investment themes driving financial markets. There is increasing uncertainty among investors as to whether the global economy is experiencing the start of a new economic cycle post-Covid19 or whether the world is experiencing the last phase of the post Financial Crisis bull market. The prevailing low interest rates across the planet point to the former while rising inflationary pressures along with historically high valuations for equities make a solid case for the latter. Asset returns over the quarter were disparate while volatility, as proxied by the VIX Index, rose on a quarterly basis.

Over the first half of 2021, markets cheered the ongoing successful vaccination campaigns as a return to normalcy was eagerly anticipated. As such, we geared our investment strategies to benefit from this positive outlook. However, at the onset of Q3'21, the appearance of the Delta variant of the Covid19 virus in the United States and Asia challenged that premise as defensive plays outperformed once again. Cyclical plays fell out of favour as technological and health stocks outperformed. The Info Tech and Health Care components of the MSCI World Index finished the quarter in positive territory while raw materials and consumer discretionary were the worst performers. More than half of the sectors ended the quarter in the red and this was a first since the pandemic wreaked havoc in Q1'20.



On the macroeconomic front, the Chinese economy was the main focus with major concerns surrounding Evergrande, one of mainland China's biggest property developer. The company finds itself in a tight situation and has been unbale to service its debt, including on US Dollar denominated debt. It remains uncertain as to whether the company will default on its debt going forward as Chinese authorities scramble to ringfence any contagion risk to its significant property sector. 29% of the Chinese economy is exposed to the real estate sector.

Over the quarter, Chinese authorities also moved to crack down on the education and technological sectors and this rippled through financial markets, especially emerging markets. The tech-heavy Hang Seng Index retreated by 14.8% while the MSCI Emerging Markets Index finished the quarter down 8.1%.

In the United States, the debate around the timing of the tapering of extraordinary measures by the US Federal Reserve (Fed) was rife. Initially, as the Delta variant impacted on economic activity, the central bank delayed its tapering plans but with inflationary pressures on the rise, the Fed signaled that the threshold for tapering was mostly met at its September meeting, and this led to a repricing of the US yield curve. The US10YR yield rose by 2 bps on the quarter but this does not tell the whole story. Since the Fed held its policy meeting in late September, yields on the 10YR rose by 17 bps as the yield curve steepened. Other central banks have pre-empted Fed and hiked rates over the period. Norway became the first central bank to hike interest rate since the onset of the pandemic, with a 25 bps hike while Brazil hiked its primary rate by 200 bps to 6.25%.

The US Dollar appreciated broadly going into Q4'21 as investors sought its refuge as risks mount on the horizon. Yield differentials between a hawkish Fed and a more accommodative European Central Bank led to a weakening of the EURUSD cross with the Euro depreciating by 2.34% versus the US Dollar. Commodity-related currencies were the worst performers as concerns about a weakening Chinese economy weighed on them. The Australian Dollar retreated by 3.61% versus the greenback while the South African rand fell by 5.25%.

Going forward, the investment environment, as we've witnessed over Q3'21, will likely prove more challenging. Sustaining the investment returns of the post pandemic era was always going to be an unrealistic aim given the level of government and central bank intervention witnessed over the last 18 months. Nevertheless, there are some investment themes which are likely to produce solid returns in the current market setup and being exposed to them is key to driving performance over this new market phase.

The value proposition is one that is hard to ignore. A lot has been said about the battering which value stocks endured amid social lockdowns and restrictions. Over the first half of 2021, the value revival was a prominent feature, but the appearance of the Delta variant triggered a reversal in sentiment. It seems that the Delta variant cases have peaked in the United States and we believe, this should work in favour of the value play. It is imperative that investors do not fall prey to the 'value trap' and as such, we embrace strategies that provide exposure to quality value stocks – that is value investments that display strong fundamentals, and which are expected to outperform over the medium term. Similarly, we believe that growth stocks which are adequately priced should continue to provide attractive returns to investors.

On the fixed income side, we maintain a low duration strategy as we believe rising yields in the developed world will persist as inflationary pressures spike. Energy prices are expected to continue rising as low storage levels in Europe and China point to sustained demand for the commodity. High yield short maturity debt denominated in US Dollar remain an important part of our fixed income strategy play and should continue to outperform as the US Federal Reserve and other central banks go about normalising monetary policies.

With so much uncertainty surrounding China and by extension Emerging Markets, we will reduce our exposure to them, especially from an equity and currency perspective. Over the years, numerous analysts have predicted an imminent meltdown of the Chinese economy, but this has never quite materialised. Chinese authorities have been shrewd in the management of previous potential pitfalls, and it is likely that the same will happen this time around. We thus expect a reaction from them and shall reassess our positioning thereafter.



Asset Class Performance

Equities (in local currency)	Value	Q3'21	6 Months	12 Months
S&P 500	4,308	0.58%	9.18%	29.98%
DOW JONES	33,844	-1.46%	5.08%	24.15%
EUROSTOXX 50	4,048	-0.08%	5.25%	29.82%
FTSE 100	7,086	1.94%	5.63%	25.31%
DAX	15,261	-1.74%	3.48%	19.59%
CAC 40	6,520	0.44%	9.07%	38.96%
ASX 200	7,332	2.23%	8.46%	32.06%
NIFTY	17,618	12.45%	7.51%	58.74%
SHANGHAI COMP	3,568	0.44%	5.37%	13.25%
JSE AFRICA ALSI	64,282	-0.79%	0.05%	23.27%
SEMDEX	2,011	8.23%	17.82%	36.40%

Currencies*	Rate	Q3'21	6 Months	12 Months
EUR vs USD	1.16	-2.34%	-1.28%	-1.20%
GBP vs USD	1.35	-2.58%	-2.24%	4.29%
JPY vs USD	111	-0.14%	-0.50%	-5.23%
AUD vs USD	0.72	-3.61%	-4.88%	0.91%
BRL vs USD	5.44	-8.74%	3.49%	3.03%
ZAR vs USD	15.1	-5.25%	-1.98%	11.12%
CNY vs USD	6.44	0.19%	1.67%	5.37%
MUR vs USD	42.7	-0.17%	-4.57%	-6.74%
MUR vs EUR	49.4	2.02%	-3.35%	-5.61%
MUR vs GBP	57.5	2.40%	-2.84%	-10.47%
MUR vs ZAR	2.82	5.31%	-2.33%	-18.71%

Fixed Income	2Y (%)	Q3'21	10Y (%)	Q1'21
United States	0.28	0.03	1.49	0.02
Germany	-0.69	-0.03	-0.20	0.01
United Kingdom	0.41	0.35	1.02	0.31
Italy	-0.45	-0.08	0.86	0.04
France	-0.68	-0.05	0.16	0.03
Australia	0.04	-0.02	1.49	-0.04
China	2.48	-0.18	2.88	-0.22
South Africa	5.18	-0.11	9.60	0.34
India	4.23	-0.54	6.22	0.17
Mauritius	1.60	-0.40	4.25	-0.15

Commodities (in US Dollars)	Value	Q3'21	6 Months	12 Months
Commodity Index	100.8	6.58%	20.75%	0.42%
Crude Oil WTI	78.5	4.51%	23.58%	91.75%
Brent Oil	75.0	2.12%	26.83%	86.55%
Gold (ounce)	1757	-0.74%	2.88%	-6.83%
Silver	22.2	-15.14%	-9.20%	-4.58%
Palladium	967	-10.04%	-18.53%	8.31%
Copper	409	-4.83%	2.34%	34.84%
Iron Ore	715	-48.23%	-39.10%	-25.56%
Wheat	726	8.04%	17.39%	25.52%
Sugar	19.8	12.48%	34.26%	51.72%

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Macroeconomic Outlook - **Mauritius**

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Macroeconomic Outlook - **Mauritius**

In April'21 we had argued that the Mauritian Economy was running at 85% of its pre-pandemic capacity and that the second confinement would cost our economy an additional Rs300M to Rs350M per day. The publication of the latest Quarterly National Accounts by Statistics Mauritius indeed confirms our estimates. GDP for the Financial Year ended June 2021 amounted to Rs436bn which stood ~1% short of the figure offered by the Ministry of Finance head of the National Budget, and which equates to a shortfall of Rs346M per day between March 10th 2021 and April 30th 2021. This additional slowdown means that the drag businesses have felt is rather real.

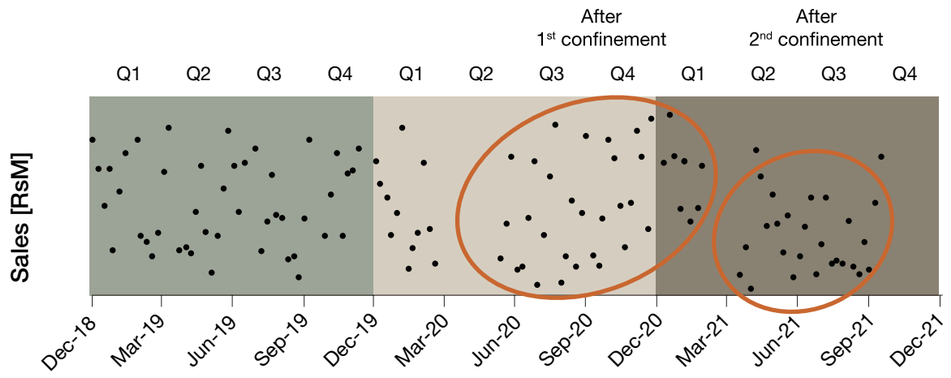


Figure 1. Evolution of turnover for a consumer driven business in recent quarters

Looking at Value Added Tax (VAT) receipts (Figure 2 below) and sales data (Figure 1 above) in recent quarters offer a glimpse into this noticeable slowdown in domestic economic activities. While it appears that the firstt lockdown had little impact on consumer spending during our "Covid-free" phase, the same cannot said about the level of consumer spending after the 2nd lockdown, as seen by a clustering of points – bar a couple – towards the bottom. VAT receipts have stood below 2017 levels – and are expected to remain so throughout the remainder of 2021 – further illustrate this slowdown in economic activity.

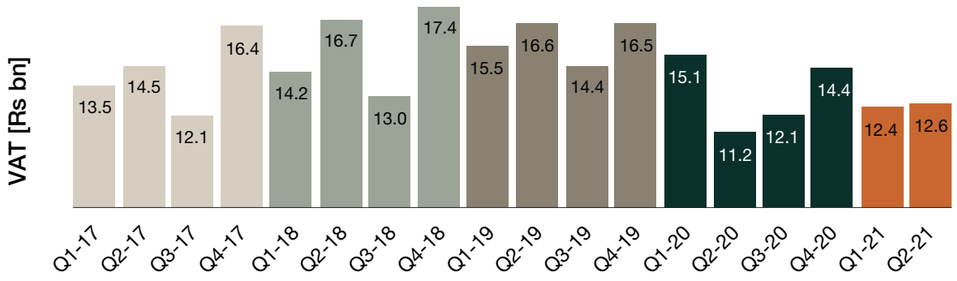


Figure 2. Evolution of VAT receipts

The figures we have talked about are rather grim, however it would seem that the worst is behind us. Although the delta-variant has reached – an inevitable progression – our shores, fewer tests are being conducted (as a consequence of updated Government protocols), and covid infected compatriots are dying everyday, we take comfort in seeing vaccination rates exceeding 85% of the adult population. With boosters being administered and teenagers being inoculated, the deadly virus Mauritians are learning to live, is somewhat more manageable now that it was over a year ago. Secondly, Mauritius appears to have achieved considerable progress with regards to shortcomings identified by the Financial Action Taskforce (FATF). Consequently, at the time of writing, we remain cautiously optimistic that we shall be taken of FATF's "grey list" by end Oct 2021, and thereafter stricken from the European Union's list of "High Risk 3rd Countries". This would in turn surely offer relief to the financial and professional services sectors. But the most important factor of all, is the elimination of quarantine requirements for incoming fully vaccinated passengers. Once our borders re-opened to tourism on Jul 15th albeit with a quarantine requirement, on average, a mere 120 tourists arrived per day. Between Oct 1st and 7th 2021, that figure rocketed to 1,385 tourist arrivals per day. Sure, this remains two-thirds below pre-pandemic levels for an October. Airlines have not all resumed flights, instead they are gradually resuming and adding frequencies, which suggests that tourists are eager to travel. This bodes well for our hospitality industry and all businesses offering services linked to it. With Q4-2021 likely to be a "ramp-up" phase for the tourism industry, 2022 is when we will surely see improvements in economic activity and an increase in banks' risk appetite. This would also explain why growth in 2022 is expected to be much stronger than in 2021. The evolution the International Monetary Fund's GDP growth forecasts – illustrated in Figure 3 below – for Mauritius in recent quarters illustrates this thinking, i.e. that the worst is behind us and that brighter times lie ahead.

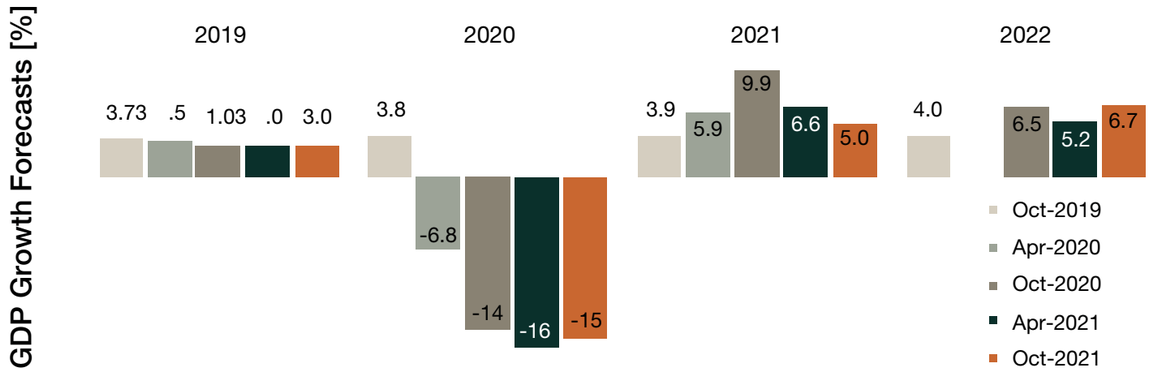


Figure 3. Evolution of IMF growth forecasts for Mauritius

Macroeconomic Outlook - **Mauritius**

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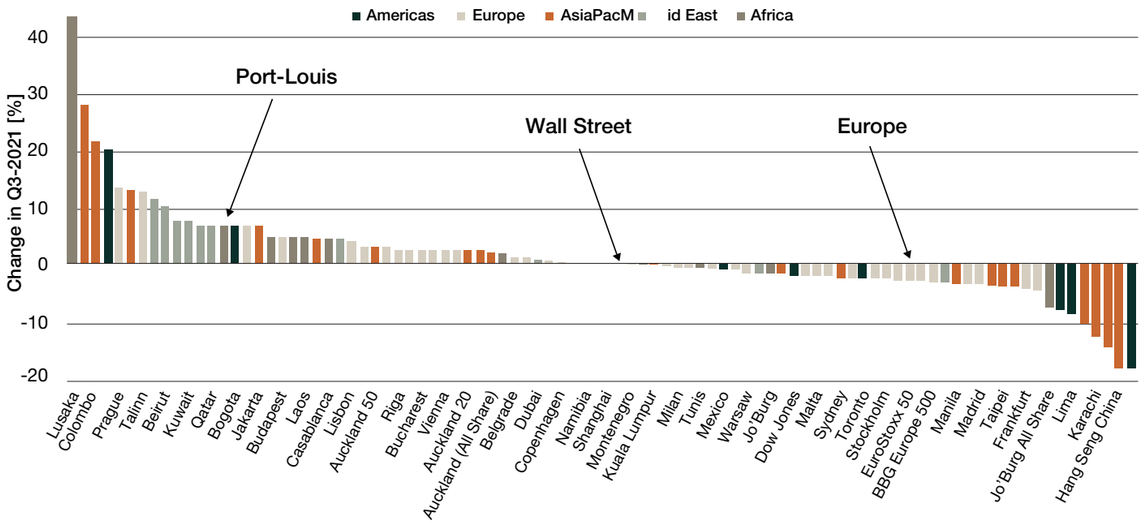


Figure 4. Comparative performance of main market indices around the world in USD terms

Domestic Market

During Q3-2021, turnover at Rs3.4bn was in-line with the long-term average during a third quarter. Exchanges were rather scattered; however usual suspect MCB Group accounted for more than Rs1 out of every Rs3 traded. The local bourse kick-started the quarter on the post-Budget momentum which ran out in the middle of July. The market thereafter cooled on profit taking and traded laterally for weeks. It only regained fresh impetus during final fortnight of the quarter when full year financials began being released, and companies resumed dividend payments. Indices tracking the domestic bourse rallied between 4% and 8% finishing at their highest levels in 19 months, i.e. since early March 2020 when the pandemic began to shut down large parts of the globe. Consequently, Port Louis' bourse was, in USD terms, among the top 15 performing stock markets worldwide in Q3-2021.

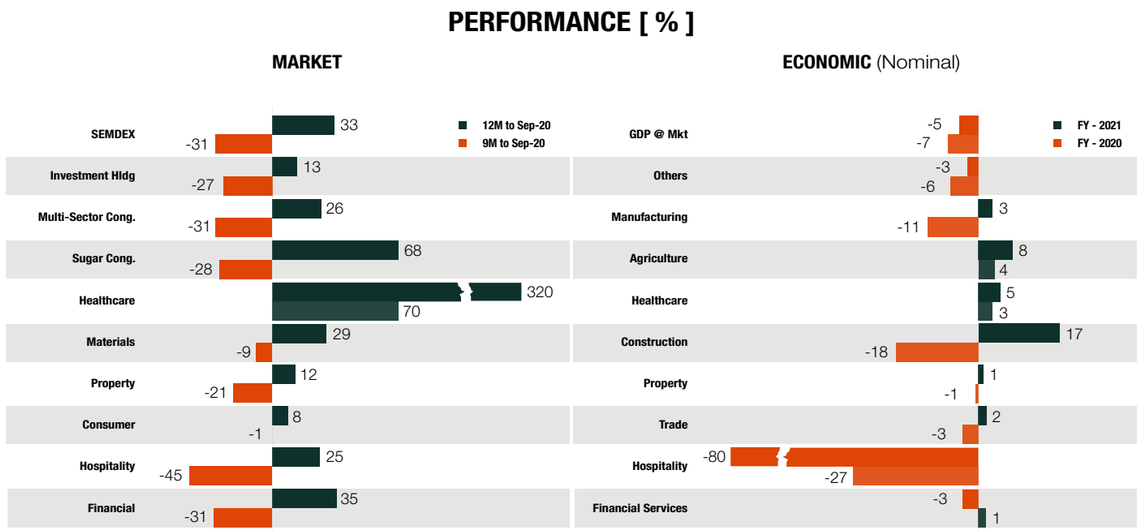
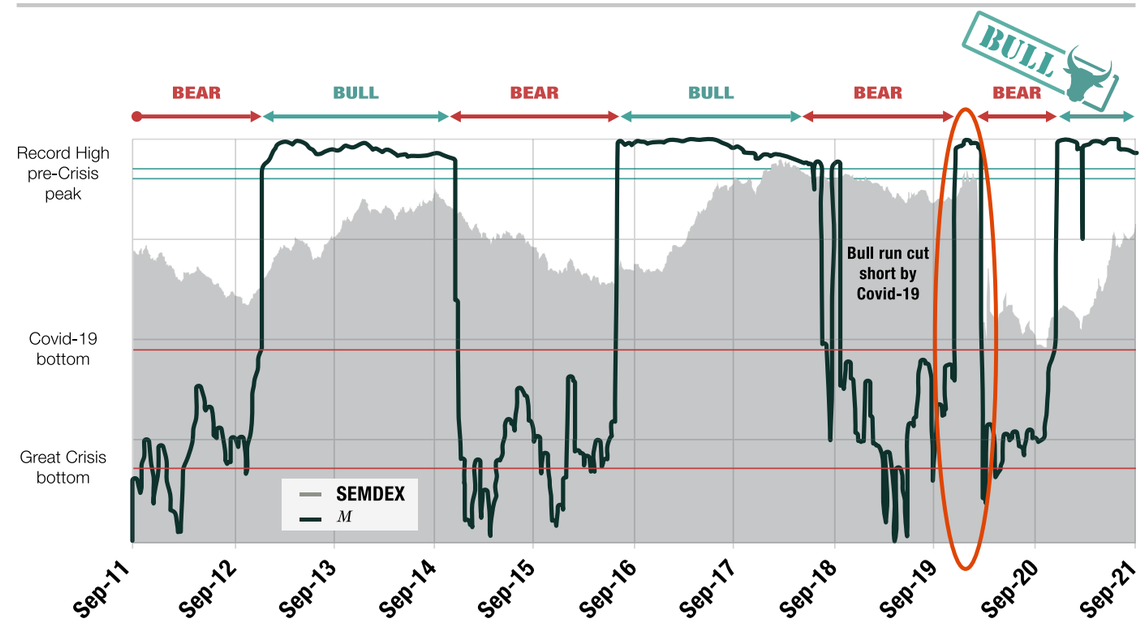


Figure 5. A sectorial comparison of market and economic performances

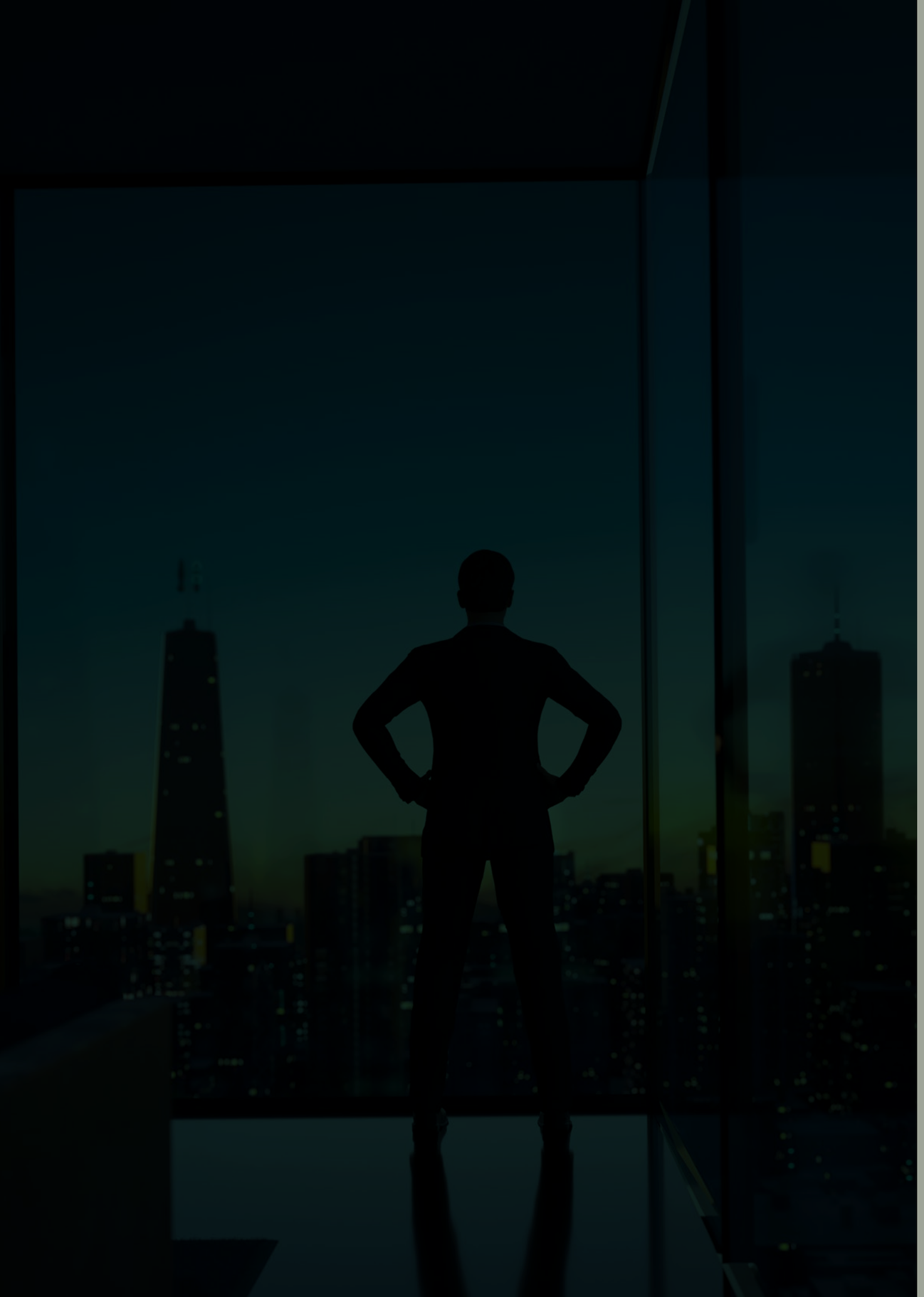
In the wake of the unprecedented economic hardships induced by the pandemic, especially for the hospitality industry, we note that construction and manufacturing have bounced back with healthcare and agriculture being among the rare unscathed industries to record growth during both FY-2020 and FY-2021. The market's crash and subsequent rebound – which commenced in November 2020 after Pfizer announced that it had successfully developed a vaccine against the SARS-CoV-2 virus – somewhat mirrors the economic realities on the ground. C-Care has sky-rocketed by 7x from Rs3 to Rs21, making it – with a market cap. of Rs12bn – the 4th largest company on the SEM, and Building Materials companies bounced back by stronger 29%. Given the inter-connected nature of listed companies, all of Banks (via their lending), conglomerates, investment holdings, and select property companies were severely impacted by the tourism industry grinding to a dead halt. Subsequently all of these sectors experienced heavily declines during 2020, and thereafter bouncing back, but given the asymmetrical nature of how percentages are computed, to a lesser extent. Incredibly enough the sugarcane industry – despite the shrinking areas under cultivation – experienced a major turnaround thanks to the spike in commodity prices, sugar included, and the Rupee's steep devaluation. Positive swings in earnings ensured that Sugar Conglomerates rallied to their highest levels in years making it the best performing sector on the market.

AXYS MOMENTUM INDICATOR



M = Momentum Indicator

In line with the promising initial signs – at the time of writing – of a rebound for tourism, we firmly believe that the worst economic crisis in the history of Mauritius is now behind us. Although profits could be non-existent for hoteliers in coming quarters, the market has much momentum propelling it higher yet remains below pre-pandemic highs as measured by the SEMDEX. Further, with additional remuneration of bagasse expected to kick-in next year, there exists upside potential among conglomerates as well and banks should see profits rise by billions of rupees as consequence of a normalisation of impairment ratios. While international markets are jittery amid increasing fear of slow economic growth coupled with inflation, Mauritius is facing prospects of appreciably accelerated growth in 2022. We subsequently believe that the Stock Exchange of Mauritius will continue to feature at the top-end of market performances worldwide in coming quarters.



Quarterly Local Equity Performance

Equities (vin local currency)	Value	Market Cap.	Q3'21	6 Months	12 Months
MCB Group	311.00	74,482	13.9%	41.7%	47.2%
SBM Hldg	4.15	10,714	-6.7%	18.6%	26.9%
ABC Banking	19.30	1,472	20.6%	18.8%	13.5%
CIM Fin Svcs	9.22	6,274	23.6%	33.6%	52.1%
Fincorp Inv	21.00	2,170	2.4%	14.1%	30.8%
MUA	121.00	6,171	6.7%	25.2%	36.1%
SWAN General	370.50	3,066	20.8%	22.3%	23.1%
Beachcomber Res	6.20	3,404	9.2%	34.8%	21.1%
LUX* Res	45.00	6,170	36.4%	67.0%	73.7%
Sun Res	16.10	2,808	-13.0%	9.9%	11.0%
Lottotech	9.00	3,060	4.4%	8.4%	20.6%
Alteo	30.00	9,555	16.3%	46.0%	106.9%
Terra	26.10	5,939	9.4%	30.5%	34.9%
Omnicane	17.80	1,193	-5.8%	28.1%	30.9%
Medine	48.50	5,093	-7.6%	27.6%	67.2%
IBL	49.55	33,705	4.3%	11.3%	12.6%
CIEL	5.64	9,513	10.6%	25.3%	84.9%
ENL	19.00	7,125	-8.4%	25.0%	35.7%
Rogers & Co	23.50	5,923	6.8%	16.9%	15.8%
Gamma-Civic	42.50	5,663	4.9%	21.4%	56.5%
Excelsior Utd Dev	15.75	1,913	3.6%	11.7%	57.5%
Innodis	50.50	1,855	12.2%	16.0%	17.4%
Mtius Oil Ref	20.50	682	0.0%	-0.5%	-6.8%
Phoenix Bevs	606.00	9,967	1.0%	1.5%	4.3%
Livestock Feed	20.25	1,914	15.1%	17.7%	37.4%
Vivo Energy	240.25	7,045	0.1%	6.0%	5.8%
Ascencia	29.30	14,278	-3.1%	37.9%	83.1%
Attitude Property	10.65	1,704	-3.2%	1.4%	-8.2%
Caudan Dev	0.93	1,860	-5.1%	2.2%	1.1%
Semaris	0.94	516	-10.5%	2.2%	-5.1%
Lavastone Prop	2.03	1,381	-3.3%	55.0%	50.4%
Grit RE Inc Grp	0.51	6,757	-15.0%	-22.7%	-26.7%
Utd Basalt Prod	150.25	3,983	3.8%	16.9%	25.2%
Mtius Dev Inv Trust	3.10	1,313	16.5%	40.9%	58.2%
POLICY	5.54	1,258	27.6%	51.4%	38.5%
National Inv Trust	37.60	1,030	7.4%	0.0%	12.2%
Prom & Dev	92.00	3,585	12.9%	26.0%	15.0%

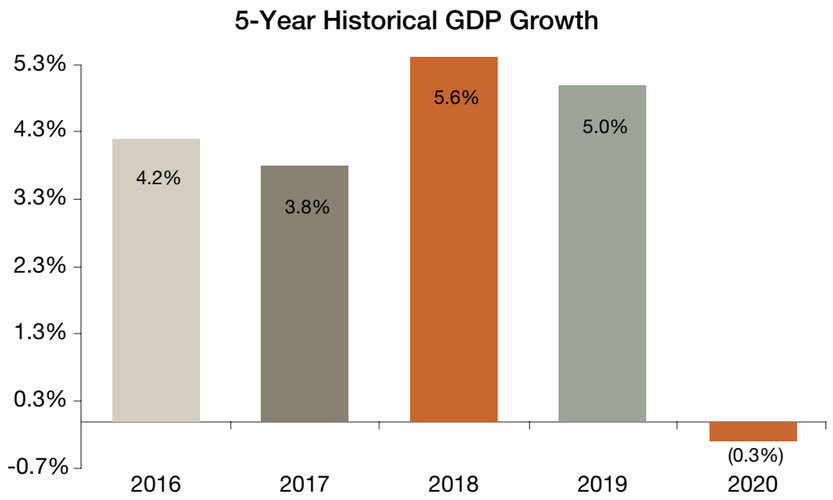
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Macroeconomic Outlook - **Kenya**

Macroeconomic Outlook - **Kenya**

In September, Kenya's National Bureau of Statistics released the country's 2020 GDP numbers. Due to the pandemic, the economy contracted by 0.3% in 2020 versus a 5.0% growth in 2019. The negative growth was mainly driven by dismal performances in the Accommodation & food services, Education, and Transport & storage sectors which were severely affected by the COVID 19 pandemic. The decline, however, was lessened by growth seen in the Agricultural, Construction, Real Estate and Financial services sectors. The government is adamant of an economic recovery, expecting the economy to bounce back by recording a 6.2% growth in 2021, higher than the World Bank's and IMF's projections of 4.5% and 5.6% respectively.

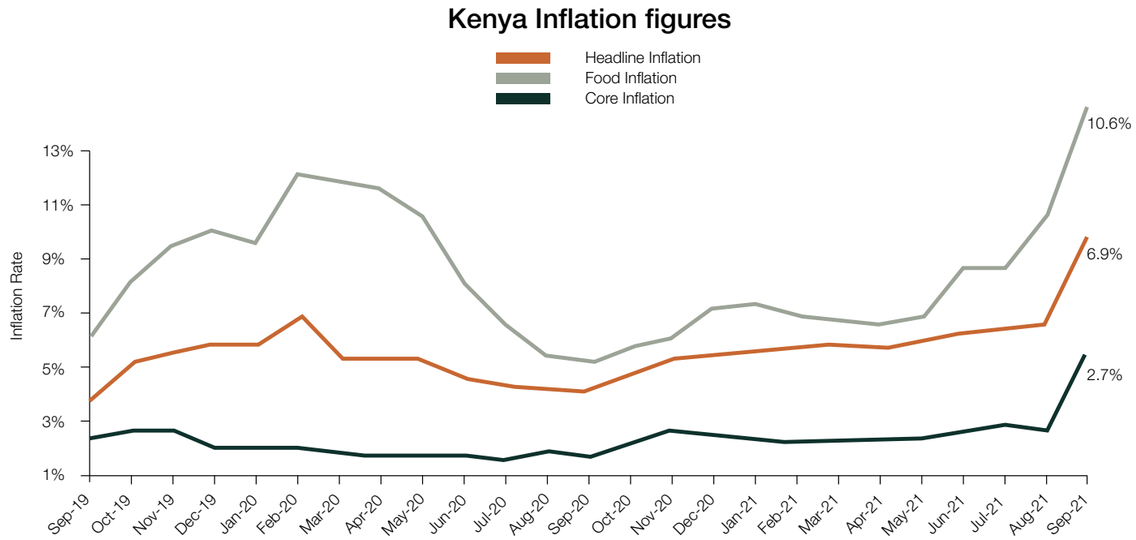
The country rebased it GDP to a base year of 2016 from the earlier base year of 2009. The rebasing is meant to reflect the changes attributable to new trends like digitization, new types of transactions and advancements in technology. The main effect of the rebasing is the 4.85% increase in the Nominal GDP to KES 10,753.00 Bn from the previous KES 10,255.70 Bn in 2019.



We expect a pick-up in economic growth and an improved performance in 2021 mainly due to increased economic activity. The improvement will mainly come on the back of the gradual easing of some of the restrictive measures in sectors such as transport and storage, as well as the re-opening of sectors such as education and accommodation and food services.

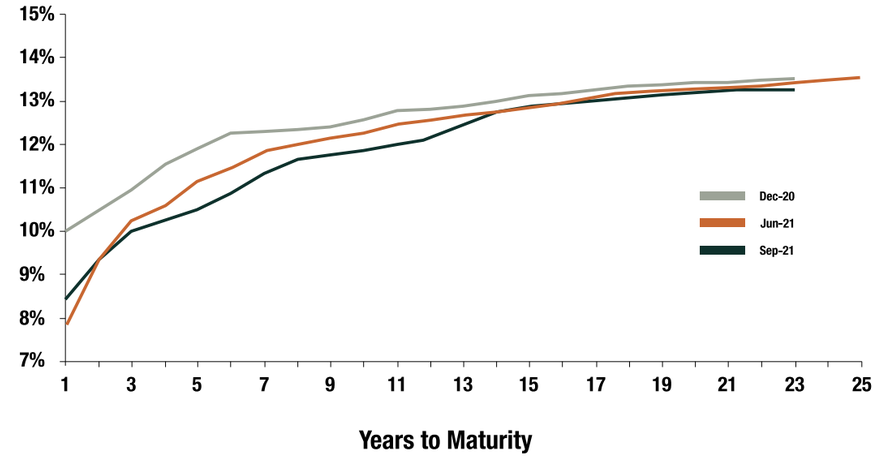
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The headline inflation during Q3-21 averaged 6.64% higher than the 5.98% and 4.31% seen in Q2-21 and Q3-20 respectively. The rising inflation is mainly attributed to an increase food and fuel prices. We expect rising food and fuel prices to continue to exert upward pressure on inflation.



Flattening yield curve

During the quarter, short term interest rates increased as the government accepted aggressive bids on the short end of the yield curve. This led to a decrease in money market liquidity as indicated in the rise in the interbank rate (from 4.82% at the beginning of the quarter to 6.61% at the end of September). In Q4-21, we expect the long end of the yield curve to remain unchanged with an upward bias while the short end is likely to marginally increase.



Market Performance

During the quarter, the NSE 20 and NASI indices were up 5% and 3% respectively. On a year-to-date basis, the NSE 20 and NASI were up 8% and 17% respectively. Equity market turnover decreased by 18% to KES 31Bn ($283M) in Q3-21 from KES 38Bn ($345M) in Q2-21. The decline was driven by foreign investors taking profit as seen in the total sell offs of KES 1,882 bn ($17bn) mainly in major counters like Safaricom, EABL and stocks in the banking sector.
In the last quarter of the year, improved investor sentiment is likely to drive gains at the NSE. We expect increased interest in the Banking stocks and Safaricom. The improving economic conditions will likely be reflected in the banks' Q3-21 numbers as their loan books expand, asset quality improves, and provisions continue to decrease. The further easing of restrictions, the continued vaccine rollout and the increasing infrastructure spending by the government will buoy earnings in the Manufacturing and Construction sectors leading to better results for counters such as Bamburi and EABL. In November, Safaricom is expected to release H1-21 numbers and add colour to its entry into Ethiopia.



Quarterly Kenyan Equity Performance

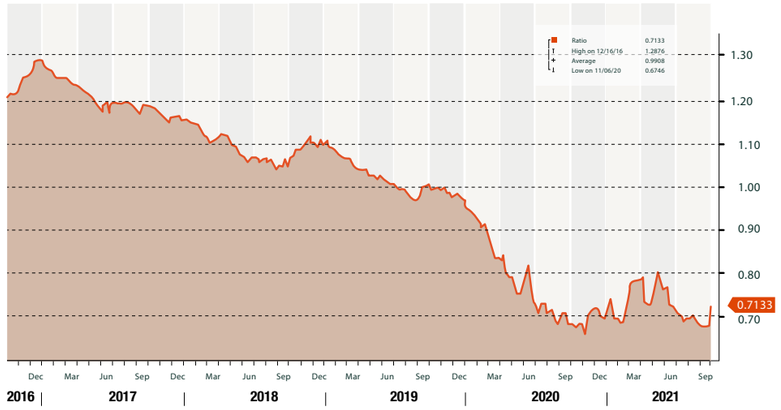
Equities (in local currency)	Value	Market Cap.(Mn)	Q3'21	6 Months	12 Months
ABSA Group	10.55	141	6.4%	19.6%	7.4%
Bamburi Cement	37.50	3,000	6.7%	2.6%	59.2%
British American Tobacco	451.00	225,500	0.2%	-5.1%	29.6%
Bank of Kigali	28.00	784	3.7%	38.3%	130.5%
Britam Holdings	8.08	73	11.6%	15.1%	8.3%
Carbacid Investments	11.95	96	-0.4%	3.0%	46.8%
CIC Insurance Group	2.98	8	38.0%	43.3%	41.2%
Co-operative Bank	13.35	218	-3.3%	1.1%	12.7%
Crown Paints	27.15	1,697	-25.2%	-35.2%	-35.4%
Centum Investment	17.60	519	1.1%	12.8%	-13.3%
Diamond Trust Bank	62.25	6,785	5.1%	-0.8%	3.8%
East African Breweries	170.75	33,894	-5.5%	8.1%	0.9%
Equity Group	50.75	2,715	13.4%	33.7%	38.3%
STANLIB FAHARI I-REIT	6.76	64	10.1%	0.0%	29.0%
HF Group	3.87	25	0.0%	-3.5%	-2.5%
I&M Holdings	22.80	2,462	4.3%	-8.8%	3.1%
Jubilee Holdings	350.00	122,850	-0.1%	29.4%	44.6%
KCB Group	46.75	2,525	9.6%	13.2%	19.6%
KenGen	4.65	27	18.0%	2.2%	-8.8%
Kenya Re Insurance	2.50	8	1.2%	2.5%	4.2%
Kenya Power	1.72	5	22.9%	27.4%	-1.7%
Kakuzi	384.50	130,730	-5.1%	8.3%	-0.1%
Liberty Holdings	8.12	3,362	-6.2%	-1.5%	6.6%
Longhorn Publishers	4.00	27	-5.2%	-1.5%	-15.6%
Nairobi Business Ventures	6.84	5	-32.9%	62.9%	936.4%
NCBA Group	26.00	958	2.0%	3.4%	13.0%
Nation Media Group	23.35	929	-6.6%	38.6%	30.4%
Nairobi Securities Exchange	9.50	117	13.6%	20.6%	10.0%
Sasini	20.00	338	10.8%	16.3%	0.0%
Stanbic Holdings	92.00	10,051	13.6%	13.2%	12.9%
WPP Scangroup	5.26	90	1.2%	-2.6%	-21.0%
Standard Chartered Bank	130.25	26,376	0.4%	-8.1%	-18.6%
Safaricom	42.10	1,326	1.6%	16.1%	41.8%
Standard Group	17.40	479	0.0%	-17.1%	-6.7%
Sanlam	11.50	198	15.0%	6.5%	-11.5%
Total Kenya	23.35	642	-6.6%	-0.6%	-0.4%
TPS Eastern Africa	15.35	269	9.6%	-14.5%	-9.4%
Umeme	7.00	58	19.9%	-1.7%	0.0%
Unga Group	30.00	1,020	7.9%	-2.3%	0.0%

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Market Insight

Market Insight

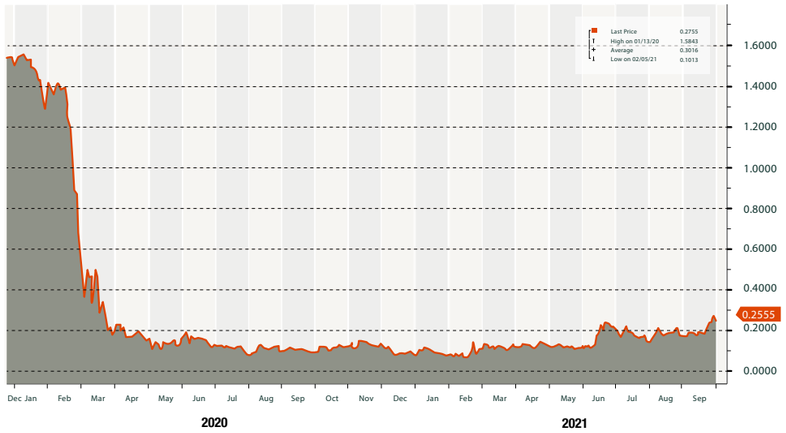
Equity - Can value outperform growth ?



Index (MSCI World Value Index) Weekly 30 Sep 2016 - 30 Sep 2021. Source: Bloomberg Finance L.P.

Value stocks endured a disappointing Q3'21 as the resurgence of the Covid-19 virus (delta variant) across the globe have delayed the reopening of economies. Value stocks outperformed growth stocks at the start of the year after years of underperformance and many analysts were predicting a continuation of the trend over the medium term. From a historical perspective, value stocks are very cheap versus growth stocks and are expected to outperform in coming months, assuming a slow but steady return to normality globally.

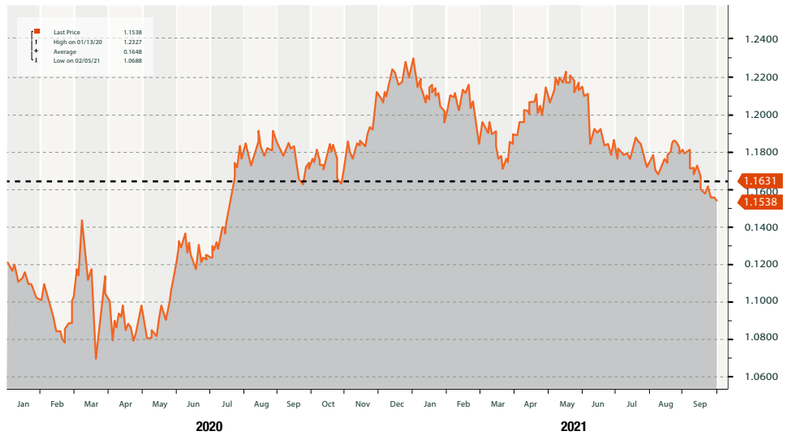
Fixed Income - Short Term Yields on the rise



Index (US Generic Govt 2 Yr) Value vs. Growth Daily 31 Dec 2019 - 30 Sep 2021. Source: Bloomberg Finance L.P.

At the onset of the pandemic in Q1'20, the US Federal Reserve slashed interest rate to 0.25% and has stayed put ever since. With headline inflation reaching its highest level in 30 years in the US and the central bank expected to start its tapering programme anytime soon, yields at the front end of the yield curve has woken up from their slumber. Since the start of 2021, the US Sovereign 2YR yield has risen by 15 basis points to 0.28%. We expect this trend to continue.

FX - More pain for the Euro



EUR Currency (EURO Spot) Daily 31 Dec 2019 - 12 Oct 2021. Source: Bloomberg Finance L.P.

Many central banks are eyeing the rise in inflationary pressures with some concern as persistent price shocks push inflation prints higher. As such, we have witnessed a hawkish tilt among central banks over Q3'21. However, the prevailing disinflationary environment pre-Covid19 in the Eurozone means that inflationary pressures is not high on the agenda of the European Central Bank so far. As yield differentials versus other currencies widen, the Euro will remain under pressure.

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Portfolio Performance

The third quarter of 2021 witnessed mounting inflationary pressures across the globe as supply chain disruptions and rising wages pushed price levels higher. Emerging markets also came under severe pressure as concerns grow over the Chinese economy, while the appearance of the delta variant complicated reopening efforts.

On international markets, we initially maintained our equity exposure unchanged but opted to reshuffle intra quarter as the emergence of the delta variant negatively impacted on the reflation trades within the portfolio. Global quality stocks were added to the portfolios. Exposure to Asian and emerging markets, especially China and Brazil, adversely impacted performance, and while those positions were eventually sold, they did contribute to the overall underperformance. In spite of several headwinds for other markets, Gold did not benefit from safe haven flows, and this has much to do with the upcoming tapering process in the United States.

Mauritian equity markets played catch up with their foreign counterparts as strong corporate results coupled with a renewal with dividends for many companies boosted market sentiment. Portfolios benefited from the exposure to the Mauritian financial and sugar sectors mainly. In spite of the stellar performance among hotel stocks, the outlook remains challenging and a return to normality is not expected before 2023 at least. The Mauritian Rupee was stable over the quarter, depreciating by only 0.2% versus the US Dollar.

Conservative	QTD	YTD	1 Year	3 Years (ann)
USD	-2.42%	3.93%	0.01%	-0.66%
EUR	-0.57%	-0.56%		
MUR	0.40%	0.71%	3.09%	6.43%

Defensive	QTD	YTD	1 Year	3 Years (ann)
USD	-2.32%	-1.25%	2.57%	2.80%
EUR	-2.49%	0.93%	2.59%	1.55%
MUR	0.52%	5.69%	9.52%	4.24%

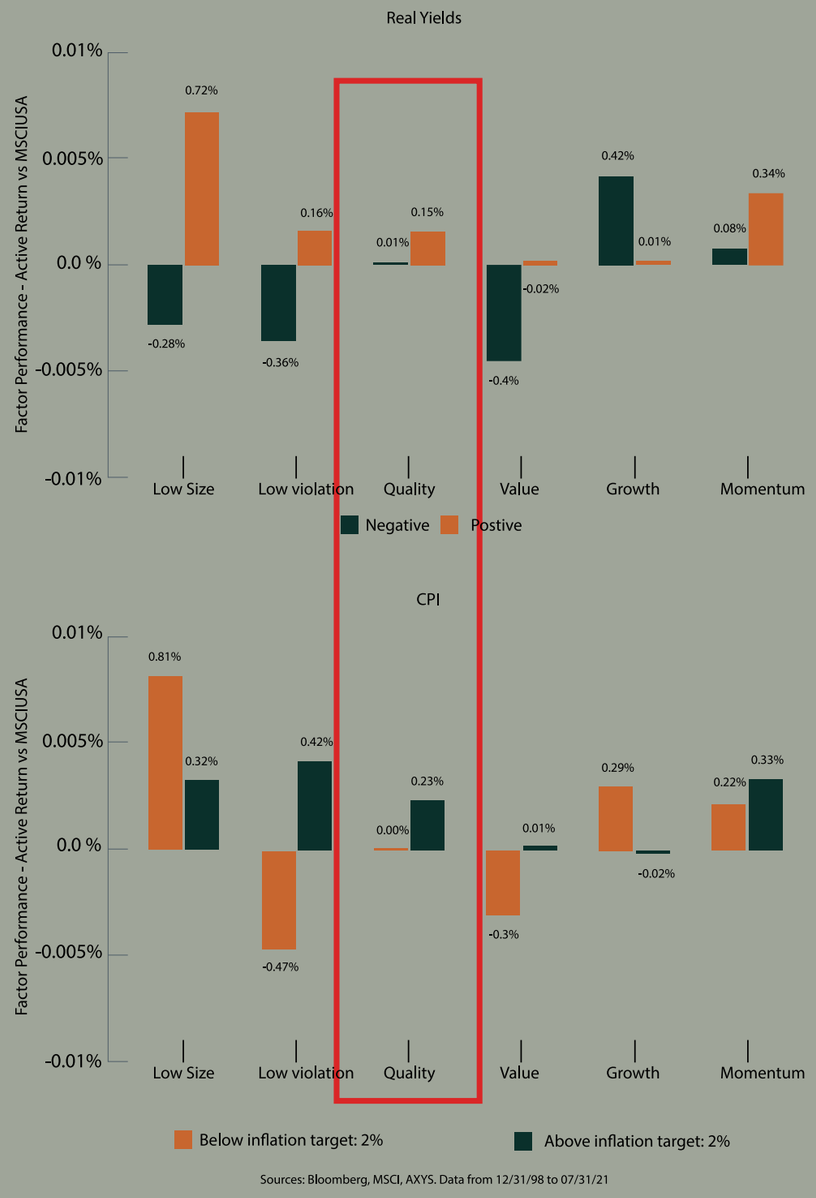
Balanced	QTD	YTD	1 Year	3 Years (ann)
USD	-3.34%	-4.14%	0.03%	1.35%
EUR	1.14%	1.24%	5.30%	1.39%
MUR	2.31%	8.14%	16.76%	4.72%

Trade Ideas

Trade Ideas

Inflation Concerns: Value, Growth? – Quality: A blend of the best parts of the 2 worlds

With inflation worry rising globally, equity investors are reassessing their investing framework for the quarter ahead. The Value vs Growth debate in the investment community has been intense over the last weeks yielding erratic Value or Growth factor performances in the equity space. Academic studies and empirical evidence suggest that a blend of Value and Growth stocks in equity portfolios tend to have higher risk adjusted return. Stocks from quality companies tend to outperform market as they generate stable earnings and have high profitability profile and low leverage. They combined the best of Value and Growth stocks and are expected to outperform during uncertain market phases with high inflation expectations and rising yields. The quality factor in the equity space reflects the performance of companies with durable business, that are expected to benefit from high inflation environment with rising yields.
[See Quality Factor bar chart below and Product Factsheet Section, Page 40-41]



Sources: Bloomberg, MSCI, AXYS. Data from 12/31/98 to 07/31/21

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Short Term High Yield Fixed Income offer the best guarantees

With inflationary pressures unabating, fixed income yields over medium to long term maturities are likely to rise further as financial markets price in hawkish central banks. In such an environment, we favour exposure to Short Term High Yield Fixed Income securities which we believe offer the best risk-adjusted returns. In this category, we do not make any distinction between fixed coupon bonds and Floating Rate Notes (FRNs) as we believe the short maturity of the securities nullify the duration consideration. In USD terms, such investments boast yields of around 4%.
[See Product Factsheet Section, Page 42-43]

Mauritian equities to continue its recovery

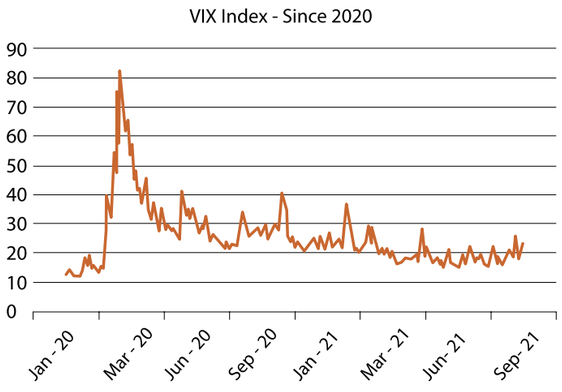
Back in April 2021, we floated the idea of investing in Mauritian equities as we believed they offered significant potential relative to the economic outlook and the then prevailing depressed valuations. Over the last six months, the SEMDEX Index has rallied by an impressive 22% but is still 12% from its pre-pandemic levels. Recent corporate earnings releases point towards strong recovery among local companies, especially those which derive a substantial proportion of their income overseas. Also, a number of corporates have renewed with dividends, and this has added to the overall feel-good factor towards Mauritian equities. We expect this trend to continue over the foreseeable future and as such we propose the AXIOM Equity Fund as a judicious investment. AXIOM Equity Fund invests in the SEM constituents only. The Fund focuses on investing in companies with strong fundamentals and future prospect.
[See Product Factsheet Section, Page 44-45]

Risk Corner

Risk Corner

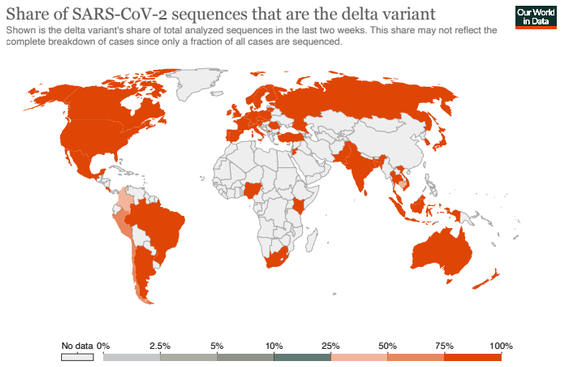
VIX Index

The VIX Index did not suffer any major spike during Q3'2021. However, the 'fear' index hit its highest level since May'21 in late September. This was mainly driven by fears of regulatory crackdowns in China amid growing concerns that Chinese property developer, Evergrande Group, faces a potential default.



The Delta Variant Is The Growth Delta

COVID-19 continues to play a central role in global economic activity. In economies where the delta variant surged in recent months--the U.S. and Southeast Asia in particular, mobility and confidence have declined, and growth has slowed. This has happened despite rising vaccination rates in some cases. In contrast, in economies where the spread of the virus has been contained or where tolerance for infections has risen, such as Europe and non-Asian emerging markets, the pace of activity has remained strong.



Source: Our World In Data – Delta Variant Cases

Common Prosperity - The Reach of Chinese Regulations

With the goal of achieving "common prosperity," the Chinese government recently tightened regulations across a targeted yet diverse set of sectors, including education, gaming and property development, among others. The market reaction has been cautious to negative, but to widely varying degrees as investors seek to understand the full scope of the regulation and its direct and indirect impacts.

Impact:

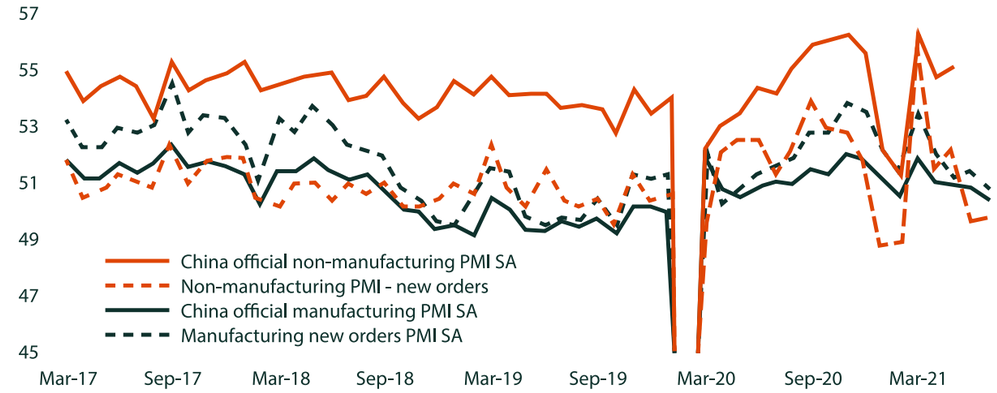
Private education companies were the first to come under pressure, with negative market sentiment quickly extending to the gaming industry amid casino license uncertainty. The reaction to regulatory tightening has been most severe in the property market. We expect policymakers will manage idiosyncratic situations but are mindful of the potential contagion risk to other sectors of the Chinese economy.
The general uncertainty associated with the regulatory tightening in China can impact sentiment in global markets. In addition, a slowdown in the property sector owing to tighter regulations could present headwinds to Chinese growth, presenting indirect impacts for developed market corporate bond issuers that benefit from Chinese demand.

Most Exposed Sectors:

- Automobile: China is the largest auto market, so any slowdown could be negative for the biggest auto companies. auto credit issuers can absorb a modest decline in demand, but a large downtrend could present negative implications for cash flow and earnings, particularly if the Chinese currency depreciates.

- Commodity: Commodity companies could face headwinds from any price volatility that arises from lower Chinese demand due to slower growth. Especially since China imports 10%-15% of the global crude oil market. Moreover, China is by far the largest buyer of copper, nickel, and zinc, accounting for roughly 50% of global demand.

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China PMIs show slowing economic activity. Source: CEIC, ING

Not so grand Evergrande raises contagion fears

The Asian (ex. Japan) offshore bond market, largely comprising Chinese corporate borrowers, has sold off sharply in recent weeks. This reflects the potential risk of Chinese property developer Evergrande defaulting on its Chinese renminbi (RMB) 125 billion ($19.2 billion) offshore U.S. dollar debt in the near future. While a likely selective default of Evergrande might be somewhat idiosyncratic in nature, this could cause liquidity to dry up in the U.S.$ high-yield market because Chinese property developers have RMB1.0 trillion ($156.8 billion) offshore debt outstanding, of which almost 50% is issued by single 'B' or 'CCC' rated entities.
Comparisons have been made with the collapse of US investment bank Lehman Brothers in 2008, which triggered the Global Financial Crisis. A major point of difference, however, is that Evergrande holds a large land bank as its major asset, estimated to be worth around US$220 billion (source: Bloomberg), while Lehman held financial assets with global banks caught up in the collapse of financial derivatives.

DO YOU KNOW YOUR RISK

Information Ratio is the excess return of an asset or portfolio divided by its "tracking error," which is the standard deviation of the fund's excess returns (or alpha). Similar to the Sharpe ratio, the Information Ratio measures return per unit of risk but focuses on excess returns instead of total returns.

Information Ratio = (Asset Rate of Return – Benchmark Rate of Return) / Tracking
The information ratio can be used to tell if the risk of trying to outperform the market is worth it. If your information ratio is high, your strategies are more likely to pay off.

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Fund Management Lab

Fund Management Lab

AXIOM Africa Equity Fund: A Year in Review

Since the 2020 editions of the Quarterly Insights, we have shared our beliefs and convictions regarding the African stock market. AXIOM Africa's objective is to provide investors with a pan-African exposure while benefiting from 2 mega-trends we have identified to be unfolding across the continent:

Digital Revolution
Demographic Boom

Through our disciplined in-house investment approach, which combines both quantitative and fundamental factors, we aim to capture these mega-trends, by investing in best-in-class companies that are expected to benefit from them.

AXIOM Africa has recently reached its 1-year milestone, having done so in a year which turned out to be exceptional as the pandemic disrupted financial markets and the global economy. Nonetheless, the extraordinary events caused a structural shift towards digitalisation.

Here are some highlights of AXIOM Africa Equity Fund's achievements since launch:

+24.48% in USD +34.05% in MUR since inception

USD 2.4M Assets Under Management

Would have been ranked 7th worldwide among its CityWire Peers!*

Portfolio Performance Review

	Class I – USD	Class I - MUR
1 Month	-2.08%	-2.19%
3 Months	0.50%	0.70%
YTD	7.38%	15.60%
1 Year	25.19%	34.22%
Since Inception	24.48%	34.05%

Table 1. Performance as of 30th Sep 2021

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October 2021

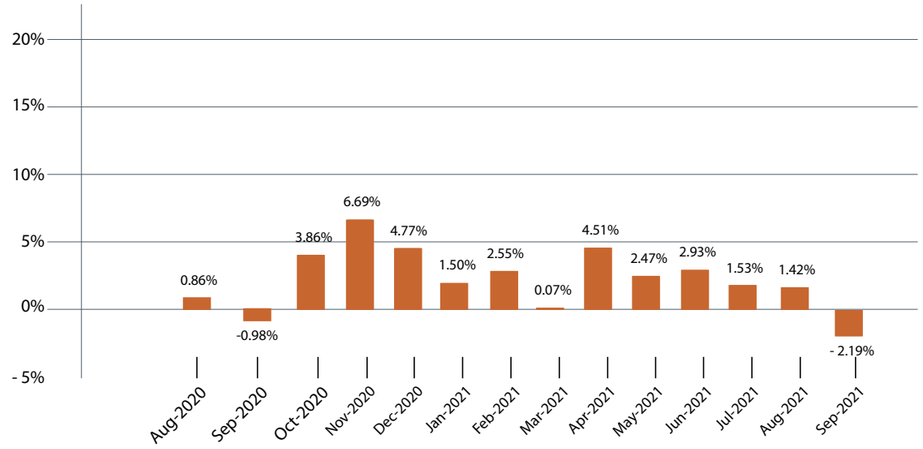


Figure 1: Monthly Performance of Class I - USD

Since inception, AXIOM Africa has seen a strong performance, returning +24.48% in USD and +34.05% in MUR, a performance which would place it 7th worldwide among its peers according to CityWire*. Despite the strong performance and the unusual market conditions during the year, the Fund had an annualised volatility of 9.34%, and posted a positive performance, 12 months out of 14. This can be largely attributed to our in-house country allocation model based on the risk-parity approach. Table 2 below showcases AXIOM Africa's ability to generate returns, while mitigating risk. While AXIOM Africa Equity Fund slightly falls short in terms of annualised return versus MSCI EFM Africa, it eclipses the latter in terms of historical risk-adjusted return (Sharpe Ratio). Referring to Figure 2, for each unit of risk exposure, AXIOM Africa has generated 2.24 units of return, largely surpassing the MSCI EFM Africa Index, the MSCI World Index and the SEMTRI. Therefore, despite its challenges and the misconception about the African Market being unavoidably "risky", AXIOM Africa Equity Fund has so far demonstrated that a robust model and disciplined approach allows investors to benefit from the African potential with a risk exposure comparable to or lower than more developed markets.

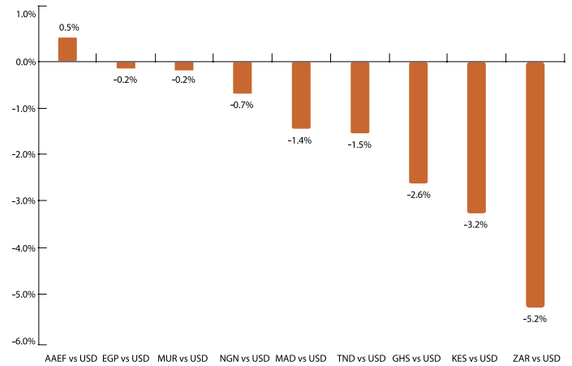
*https://citywireselector.com/sector/equity-africa-funds/i2766?periodMonths=12&page=1

	AXIOM Africa Equity Fund Class I – USD	MSCI EFM Africa Index TR USD	SEMDEX Index TR USD	MSCI World Index TR USD
Annualised Volatility	9.34%	23.95%	11.43%	13.85%
Annualised Return	20.90%	21.09%	18.42%	25.97%
Sharpe Ratio	2.24	0.88	1.61	1.88

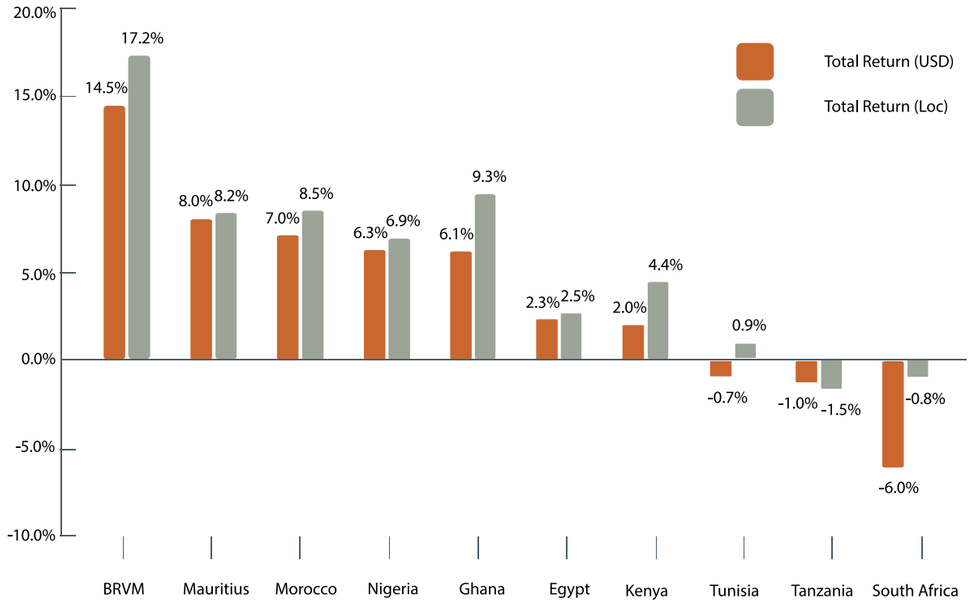
Table 2: Risk-Return metrics vs Indices

The African Market Quarterly Review

This quarter, we have seen most of African currencies depreciate against the US Dollar with the worst performer being the ZAR which was down approx. 5.25%. AXIOM Africa Equity Fund's Class I USD has generated a positive performance of 0.50% during this period, again putting emphasis on our Pan-African approach on the continent.



Africa has been heavily impacted by the slow vaccination rate due to procurement of vaccines and the difficult access to rural areas. Central Banks in Africa have followed the rest of the world by providing accommodative monetary policy to mitigate the pandemic effects. However, regardless of the appreciation of the US dollar against exotic currencies, most countries within our investment universe have generated a positive performance in USD terms during this quarter. Western Africa leads the way with BRVM being the top performing market in the region generating more than 14% followed by Nigeria and Ghana. Morocco and Egypt were the top performing regions in Northern Africa as macroeconomic figures keep improving. Eastern Africa with Mauritius and Kenya have benefitted from a rebound as borders reopened and local business activities picked up. On the other hand, Tunisia and Tanzania have been flattish apart from South Africa which lags its African peers and was down 6.0% this quarter, having been negatively impacted by recent riots and regulation issues.



Why AXIOM Africa Equity Fund?

We reiterate that the African stock market presents unique opportunities, and our philosophy is to capture the mega-trends unfolding in the region. While more than 1,000 companies are listed in the continent, most of them are unknown by most international investors and only a handful are good companies. Furthermore, by construction African indices are largely biased towards the most mature countries, while disregarding great companies with strong growth potential. This is especially true for Africa where South Africa represents more than 90% of the benchmark and reinforces our conviction that current indices available to investors fail to reflect the full African potential.

AXIOM Africa aims to provide capital growth for investors by generating consistent returns, while significantly reducing risk. We have been able to achieve this goal by implementing our proprietary in-house country allocation model, combining both quantitative and fundamental factors. Despite the adverse economic effects of the pandemic, the digitalisation process and the demographic boom in the continent keeps growing stronger and faster. We expect companies linked to those mega-trends to benefit from current market conditions and dominate the post-pandemic era.

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Product Factsheet

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AXYS Global Quality Equity

Octobre 2021

Investment Case

The Value vs Growth debate in the investment community has been highly intense over the last weeks yielding erratic Value or Growth factor performances in the equity space. With inflation worry rising globally, equity investors are reassessing their investing framework for the quarter ahead. Stocks from Quality companies combine the best of Value and Growth world as they have durable business with strong balance-sheet and generally trade at reasonable valuation multiples. Quality companies have very often strong pricing power in their markets and should benefit from a high inflation environment. Unlike Value companies, Quality companies are less sensitive to rising yields as they have a strong balance-sheet. In such uncertain context, with rising yields and inflation expectations, Equity investors should allocate some of their portfolio exposure towards Global Quality Equity funds such as AXYS Global Quality Equity.

Product Highlights

Issue Size	USD 2.5Bn
Inception Date	October 2014
Currency	USD
Minimum Investment	USD 10,000
Liquidity	Daily

Target Audience

This product is for:

- USD based investors who want an strong and stable earnings.
- Investors who want an exposure to a sub-set of MSCI World stocks.

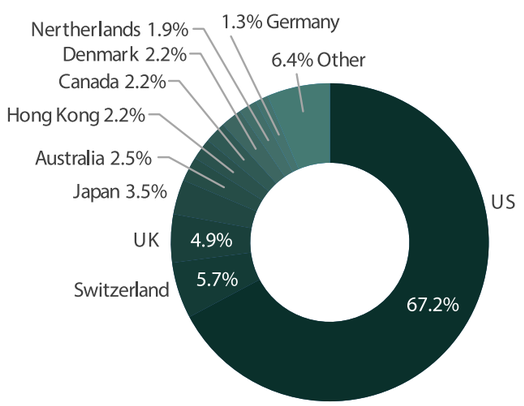
Performance (as at 30th September 2021)

Year-to-Date	13.9%
1 Year	27.0%
3 Years	14.0%
5 Years	14.1%
Annualised Return	11.5%
Annualised Volatity	15.5%

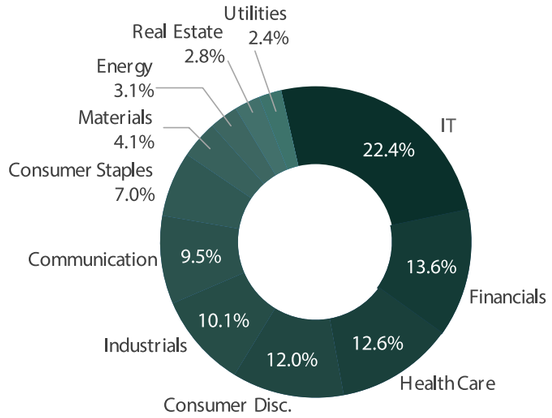
Performance of AXYS Global Quality Equity



Geographical Exposure



Sectorial Exposure



Portfolio Allocation Guideline: Up to 5.0%

Risk Score: 1 2 3 4 5 6 **7** 8 9 10

Investment Risk rating: Medium

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UBA

7.75% Jun-2022

September 2021

The Issuer

United Bank for Africa PLC (UBA) was founded in 1961. Over the years it grew to become a major Pan-African and Nigeria's third largest bank with an estimated market share of 10% of Africa's biggest economy. Beyond Africa the bank is present in 3 global financial centres: New York, Paris and London. The Bank has a current market cap of USD591M and a strong history of good governance and oversight. As at 2019 UBA had a Common Equity Tier 1 (CET1) ratio of 16% and a Loan to Deposit Ratio (LDR) of 56%.

The bank employs over 13,000 employees and was named by the Financial Times (The Banker) as the Bank of the Year in Africa for 2017.

UBA maintained its resilience and social awareness during the outbreak of the pandemic, depicted by a healthy Risk Based Capital Ratio of 29% and donations of US14M made to Covid efforts.



Target Audience

This product is for investors who seek capital preservation together with high regular USD denominated coupons.

Description

- Offers a premium of approx. 3.78% over the US 1YR Treasury yield.
- A coupon of 7.75% p.a. is payable semi annually until 8th June 2022.

Advantages

- Attractive semi-annual coupon payment in USD.
- Senior unsecured debt issued by one of Africa's major banks.
- Issuer boasts strong fundamentals and adequate liquidity.
- Sole USD-denominated debt issued by UBA to date.

Highlights

Issuer	United Bank of Africa PLC (UBA)
Bond Rating	Moody's B2u / S&P and Fitch B-
Maturity	9 Months
Redemp. at Maturity	100%
Currency	USD
YTM*/ Price	3.80% / 102.50
Coupon Rate	7.75%
Coupon Frequency	Semi-Annual
Next Coupon	8th Dec 2021
Coupon Type	Fixed
Min. Investment	USD 50,000
Brokerage Fees	0.50%
Issue Date	1st June 2017
Size of Issue	USD 500M
Industry	Banking
Country	Pan-African

*based on current market conditions

Cautions

- Banks may be subject to increased impairments from non-performing loans due to the effects of Covid-19 on borrowers. Their profit margins may thus be affected.
- Although UBA has operations in several jurisdictions, its profit margins may be impacted in the case of an economic downturn across Nigeria which is heavily dependent on oil exports.
- The price of the bond may be volatile during times of market stress and can thus affect mark-to-market valuations.
- Liquidity may not be widely available and the yield may therefore be affected if sold prior to maturity.
- As with any bond, the investor may not recover the full amount invested in the case of a default from the issuer. This bond is currently classified as high yield.

Risk Guideline

Portfolio Allocation Guideline: Up to 5.0%

Risk Score: 1 2 3 4 5 **6** 7 8 9 10

Investment Risk rating: Medium

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AXIOM Equity Fund

September 2021

Fund Objective

The investment objective of the fund is to achieve long term growth through a blended investment strategy consisting of both growth and value stocks All dividends are reinvested given their importance in driving long term portfolio growth. The fund invests only in equities listed on the Stock Exchange of Mauritius.

Fund Manager Comments

The Fund was up 4.74% during the month while the SEMTRI had a positive performance of 2.95% SEMTRI's performance was driven by Hotels (Lux Resorts +17.0), Financials (Policy Ltd +9.9% ABC Banking +9.4% and the Sugar Industry (Terra +8.8% Alteo +8.1%).

CPI decreased by 0.1% driven by a drop in vegetable prices Annual inflation stands at 6.0% in August 2021 from 1.5% in August 2020 PPI increased 9.5% YoY for the period ending August 2021 driven by an increase in costs of fabricated metal products Unemployment rate at 9.8% in Q1'21 from 6.9% in Q1'20 while Youth unemployment rate stood at 31.5% in Q1'21 from 23.5% in Q1'20

AXIOM Equity Fund Ltd is not exposed to hotel counters to avoid uncertainty that prevails in the sector due to the pandemic

The Fund's investments have strong fundamentals Borders have now reopened with the actual portfolio expected to benefit strongly from a rebound in the market as business activities pick up.

Total AUM	Rs. 57.8m
NAV (Class R)	10.96
NAV (Class I)	11.52
Initial NAV	10.00
Currency	MUR
Inception Date	01 August 2014
Total Annual Fund Operating Expense Ratio	2.00%
Min. Investment (Lump Sum)	MUR 100,000
Fund Manager	AXYS Investment Partners Ltd
Entry / Exit Fee	Up to 2%

Gainers

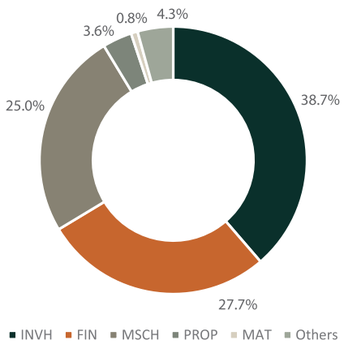
▲ 9.3%	▲ 8.1%	▲ 8.0%
ABCB	ALTEO	UTIN

Laggers

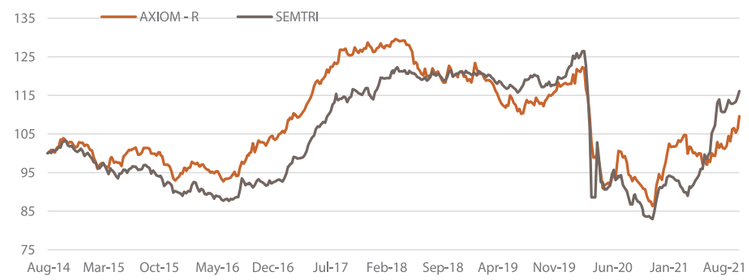
▼ -5.3%

SBM

Sector Allocation



Fund Performance (Class R)



Performance (Class R) at 30 September 2021

	AXIOM - R	ALEXTRI	SEMTRI
1 Month Return	4.74%	3.59%	2.95%
3 Months' Return	10.37%	7.24%	8.35%
YTD	9.83%	25.13%	23.85%
12 Months' Return	20.45%	39.80%	35.94%
Return since Inception	9.61%	-0.45%	16.13%
Annualised Return since Inception	1.29%	-0.06%	2.11%

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YEAR	ALEXTRI	SEMTRI
2014	-	-	-	-	-	-	-	0.15%	3.78%	-1.02%	0.03%	-0.78%	2.10%	-2.05%	0.12%
2015	-4.31%	-0.31%	1.64%	-1.41%	2.66%	1.30%	-0.10%	-1.43%	0.25%	-3.18%	-4.18%	3.50%	-5.77%	-12.80%	-10.10%
2016	1.65%	-1.23%	-0.93%	-0.42%	-2.73%	1.83%	2.01%	3.22%	2.41%	0.88%	1.75%	0.67%	9.34%	3.02%	3.27%
2017	3.23%	1.29%	1.18%	3.68%	2.34%	2.37%	1.90%	3.17%	-1.18%	0.80%	1.18%	-0.70%	20.91%	23.08%	25.32%
2018	0.47%	0.94%	0.08%	-0.85%	-3.91%	-0.89%	-0.25%	-2.14%	3.11%	-2.44%	0.25%	1.50%	-4.25%	-1.29%	3.68%
2019	-0.99%	-1.49%	-2.78%	-3.20%	1.07%	-2.48%	2.81%	0.26%	0.18%	1.85%	1.47%	0.34%	-3.12%	-0.18%	1.37%
2020	2.80%	-3.79%	-15.25%	-4.04%	-3.37%	9.71%	-2.88%	-3.99%	-2.99%	-3.85%	8.11%	5.50%	-15.42%	-25.45%	-23.42%
2021	1.92%	1.97%	-2.10%	-1.49%	-2.99%	2.34%	2.03%	3.27%	4.74%				9.83%	25.13%	23.85%

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